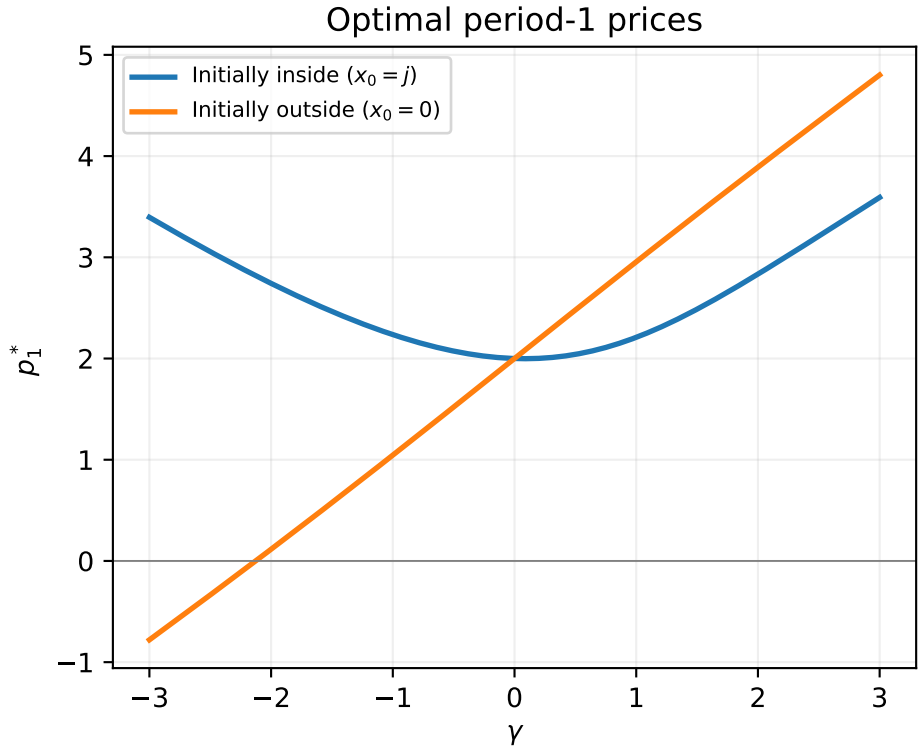
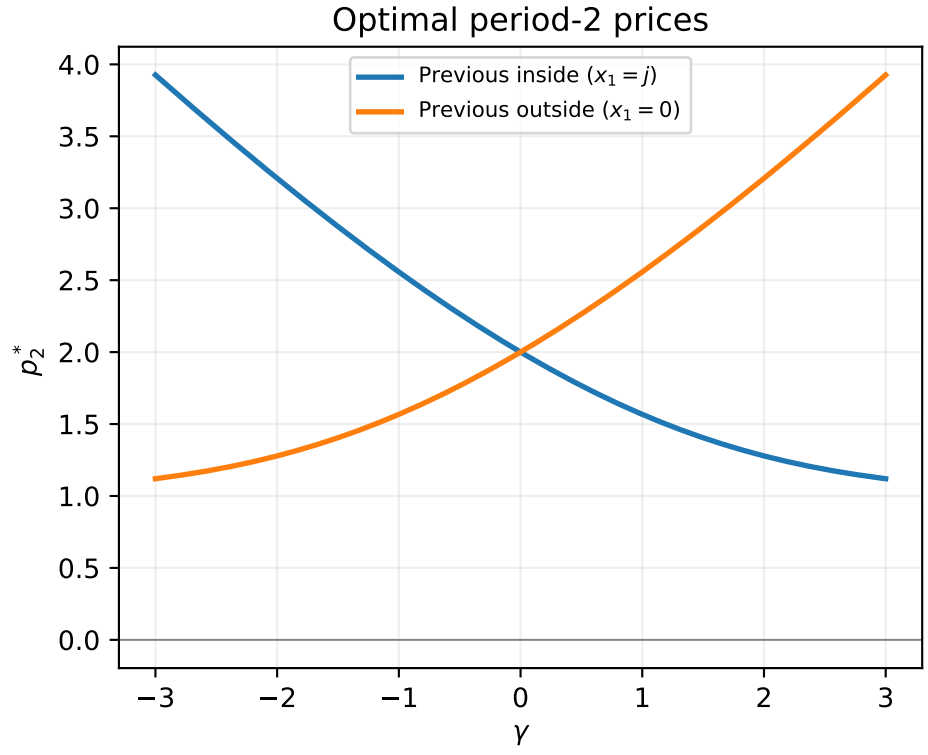

Optimal period-1 prices
Initially inside ($x_0 = j$)
Initially outside ($x_0 = 0$)
p_1^*
γ
5
4
3
2
1
0
−1
−3
−2
−1
0
1
2
3


Optimal period-2 prices
Previous inside ($x_1 = j$)
Previous outside ($x_1 = 0$)
p_2^*
γ
4.0
3.5
3.0
2.5
2.0
1.5
1.0
0.5
0.0
−3
−2
−1
0
1
2
3